

Internal Governance of Third Country Branches

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _third country CRR firm_ ;

(1) with respect to the carrying on of the following from an establishment in the _UK_ :

(a) _regulated activities_ except _auction regulated bidding_ ;

(b) activities that constitute _dealing in investments as principal_ , disregarding the exclusion in article 15 of _Regulated Activities Order_ ;

(c) _ancillary activities_ ;

(d) in relation to _MiFID business_ , providing _ancillary services_ ; and

(e) _unregulated activities_ in a _prudential context_ ; and

(2) in a _prudential context_ with respect to activities wherever they are carried on; and

(3) taking into account any activity of other members of a _group_ of which the _firm_ is a member.

1.2

A reference to a _firm_ in this Part is to a _firm_ within the scope of 1.1.

1.3

The changes to this rule are effective from 23:00 on 31/12/2020.

In this Part, the following definitions shall apply:

auction platform

means a platform on which auctions of _allowances_ are held in accordance with the _auction regulation_.

auction regulation

Commission Regulation (EU) No 1031/2010 of 12 November 2010 on the timing, administration and other aspects of auctioning of greenhouse gas emission allowances pursuant to Directive 2003/87/EC of the European Parliament and of the Council establishing a scheme for greenhouse gas emission allowances trading within the Community.

auction regulation bidding

means the _regulated activity_ of _bidding in emissions auctions_ where it is carried on by:

1. (a) collective investment undertakings and pension funds and the depositaries and managers of such _undertakings_ ; or
2. (b) a _MiFID investment firm_ (other than a _UCITS investment firm_) on behalf of its _clients_ in relation to a _two-day emissions spot_.

authorisation

means authorisation as an _authorised person_ for the purposes of _FSMA_.

protected disclosure

means a qualifying disclosure as defined in section 43B of the Employment Rights Act 1996 made by a _worker_ in accordance with sections 43C to 43H of the Employment Rights Act 1996.

staff disclosure channel

means the arrangements described in General Organisational Requirements 2A.2.

two-day emissions spot

means an _allowance_ where delivery is to be made at an agreed date no later than the second trading day from the day of an auction on an _auction platform_ (within the meaning of article 3(3) of the _auction regulation_).

UCITS investment firm

means a _firm_ which:

- (a) is a _management company_ (whether or not it is also the operator of other _collective investment schemes_); and
- (b) has a _Part 4A permission_ (or an equivalent permission from its Home State regulator) to manage _investments_ where:
 - (i) the _investments_ managed include one or more of the instruments listed in Section C of Annex 1 to _MiFID_ ; and
 - (ii) the _permission_ extends to activities permitted by article 6(3) of the _UCITS Directive_ as well as those permitted by article 6(2).

worker

has the meaning as defined by section 230(3) of the Employment Rights Act 1996 and as extended under section 43K of the Employment Rights Act 1996.

1.4

In this Part, a reference to a provision of the Employment Rights Act 1996 includes a reference to the corresponding provision of the Employment Rights (Northern Ireland) Order 1996.

2

General Organisational Requirements

2.1

A _firm_ must have robust governance arrangements, which include a clear organisational structure with well defined,

transparent and consistent lines of responsibility, effective processes to identify, manage, monitor and report the risks it is or might be exposed to, and internal control mechanisms, including sound administrative and accounting procedures and effective control and safeguard arrangements for information processing systems.

2.2

A firm must, taking into account the nature, scale and complexity of the business of the firm, and the nature and range of the financial services and activities undertaken in the course of that business establish, implement and maintain adequate internal control mechanisms designed to secure compliance with decisions and procedures at all levels of the firm.

2A

Whistleblowing

2A.1

A firm must inform all workers :

1. (1) that they may disclose directly to the PRA or to the FCA anything that would be the subject-matter of a protected disclosure ;
2. (2) of what would constitute a protected disclosure ;
3. (3) that the PRA or the FCA are prescribed persons under section 43F of the Employment Rights Act 1996 and the effect of making a protected disclosure to the PRA or to the FCA ; and
4. (4) of the means available to make a protected disclosure to the PRA or the FCA.

[Note: Article 73(2) of MiFID II]

2A.2

If the firm :

1. (1) is a member of a group which includes a CRR firm ; and
2. (2) the CRR firm is subject to General Organisations Requirements 2A;

the firm must inform all its workers in the UK of the CRR firm's staff disclosure channel and explain that the staff disclosure channel is available to them.

[Note: Article 73(2) of MiFID II]

3

Persons Who Effectively Direct the Business

3.1

The senior personnel of a firm must be of sufficiently good repute and sufficiently experienced as to ensure the sound and prudent management of the firm.

3.2

A firm must ensure that its management is undertaken by at least two persons meeting the requirements laid down in 3.1.

3.3

If the _firm_ is:

- (1) a natural person; or
- (2) a legal person managed by a single natural person;

it must have alternative arrangements in place which ensure sound and prudent management of the _firm_.

4

Responsibility of Senior Personnel

4.1

A _firm_ , when allocating functions internally, must ensure that _senior personnel_ and, where appropriate, the _supervisory function_ , are responsible for ensuring that the _firm_ complies with its obligations under the _regulatory system_. In particular, _senior personnel_ and, where appropriate, the _supervisory function_ must assess and periodically review the effectiveness of the policies, arrangements and procedures put in place to comply with the _firm's_ obligations under the _regulatory system_ and take appropriate measures to address any deficiencies.

5

Skills, Knowledge and Expertise

5.1

A _firm_ must employ personnel with the skills, knowledge and expertise necessary for the discharge of the responsibilities allocated to them, taking into account the nature, scale and complexity of its business and the nature and range of financial services and activities undertaken in the course of that business.

6

Compliance

6.1

This chapter applies to the carrying on of an _auction regulation bidding_ , to the extent that it relates to the obligation to establish, implement and maintain adequate policies and procedures for countering the risk that the firm (including its managers, employees and _appointed representatives_) might be used to further _financial crime_.

6.2

A _firm_ must establish, implement and maintain adequate policies and procedures sufficient to ensure compliance of the _firm_ including its managers, _employees_ and _appointed representatives_ (or where applicable, _tied agents_) with its obligations under the _regulatory system_ and for countering the risk that the _firm_ might be used to further _financial crime_.

6.3

In order to ensure compliance in accordance with 6.2, a _firm_ that carries on _designated investment business_ with or for _retail clients_ or _professional clients_ must appoint a compliance officer who is responsible for compliance.

7

Outsourcing

7.1

If a _firm_ outsources critical or important operational functions or any relevant services and activities, it remains fully responsible for discharging all of its obligations under the _regulatory system_ and must comply, in particular, with the following conditions:

- (1) the _outsourcing_ must not result in the delegation by _senior personnel_ of their responsibility;
- (2) the relationship and obligations of the _firm_ towards its _clients_ under the _regulatory system_ must not be altered;
- (3) the conditions with which the _firm_ must comply in order to be _authorised_ , and to remain so, must not be undermined;
- (4) none of the other conditions subject to which the _firm's_ _authorisation_ was granted must be removed or modified.

8

Record Keeping

8.1

This chapter applies to activities carried on by a _firm_ from an establishment maintained in the _UK_ , unless another applicable rule which is relevant to the activity has a wider territorial scope, in which case this chapter applies with that wider scope in relation to the activity described in that rule.

8.2

A _firm_ must arrange for orderly records to be kept of its business and internal organisation, including all services and transactions undertaken by it, which must be sufficient to enable the _PRA_ or any other relevant competent authority under _MiFID_ to monitor the _firm's_ compliance with the requirements under the _regulatory system_ , and in particular to ascertain that the _firm_ has complied with all obligations with respect to _clients_ .